

Board's Report

TO THE MEMBERS OF GRANULES INDIA LIMITED,

The Board of Directors presents the Company's thirty-fourth Annual Report and the Company's audited financial statements (standalone and consolidated) for the financial year ended March 31, 2025.

FINANCIAL RESULTS:

The Company's financial performance for the year ended March 31, 2025 is summarised below:

(₹ in million)

Particulars	Standalone		Consolidated	
	Year ended March 31, 2025	Year ended March 31, 2024	Year ended March 31, 2025	Year ended March 31, 2024
Revenue from Operations	30,301.63	37,550.91	44,816.08	45,063.67
Other Income	406.80	57.77	129.19	44.02
Total Income	30,708.43	37,608.68	44,945.27	45,107.69
Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA)	6,054.84	8,071.37	9,581.55	8,603.82
Add: Exceptional Items	307.5	-	307.5	-
Less: Finance Costs	627.80	719.98	1,032.38	1,058.21
Less: Depreciation	1,462.30	1,438.48	2,255.01	2,073.32
Profit Before Tax	4,272.24	5,912.91	6,601.66	5,472.29
Less: Tax Expenses	1,078.88	1,553.73	1,586.50	1,419.18
Profit for the year	3,193.36	4,359.18	5,015.16	4,053.10
Dividends paid	363.55	363.06	363.55	363.06

Note: The above figures are extracted from the standalone and consolidated financial statements of the Company.

OVERVIEW OF FINANCIAL AND BUSINESS OPERATIONS:

Standalone Financial Summary: On a standalone basis, the revenue from operations was ₹ 30,301.63 million in FY 2024-25 as against ₹ 37,550.91 million for FY 2023-24 and the net profit after tax was ₹ 3,193.36 million in FY 2024-25 as against ₹ 4,359.18 million for FY 2023-24.

Consolidated Financial Summary: On a consolidated basis, the revenue from operations was ₹ 44,816.08 million in FY 2024-25 as against ₹ 45,063.67 million for FY 2023-24 and the net profit after tax was ₹ 5,015.16 million in FY 2024-25 as against ₹ 4,053.10 million for FY 2023-24.

For more details, please refer to the Management Discussion and Analysis report.

On a standalone basis, the Finished Dosages (FD) business contributed the largest share of revenue of the Company at 65.20% while Pharmaceutical Finished Intermediates (PFI) and Active Pharmaceutical Ingredients (API) contributed 14.68% and 20.12% respectively while it was 56.71%, 17.12% and 26.17% for FD, PFI and API respectively for the FY 2023-24.

In FY 2024-25, the Company on a standalone basis filed seven ANDAs with the USFDA, nine MAA's in the European region and one OTC application in Canada. The Company also filed six US DMFs, which will be used to build future revenue from the API business. The Company received six USFDA approvals and one approval in Canada. The management believes that it will

continue to strengthen its position through dedicated research and the launch of new products. The Company launched nine products in the US market.

Vertical integration has always been the strength and focus area of the Company. It will continue its focus on its core business and strengthen it by enhancing its market presence through backward integration strategies, improving operational efficiencies and continuous supply chain management. The non-core business will also be given equal focus and the Company shall endeavour towards adding new products, cost leadership and most importantly offering reliable and consistent services to all the customers. The Company's goal of transforming more of its business into the finished dosage business will continue and with this objective, the Company will continue to grow as an integrated Pharmaceutical Company sustainably and responsibly.

DIVIDEND:

The Board of Directors has recommended a final dividend of ₹1.50 /- per equity share (Face value ₹ 1/- per equity share) for the financial year 2024-25, same as the dividend paid in the previous financial year.

The dividend payout is in accordance with the Company's Dividend Distribution Policy. The Dividend Distribution Policy of the Company may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/pdf/Dividend-Distribution-policy.pdf>.

MATERIAL CHANGES AFFECTING THE COMPANY:

There have been no material changes and commitments affecting the financial position of the Company between the end of the financial year and the date of this report. There has been no change in the business of the Company.

SHARE CAPITAL:

The authorized share capital of the Company is 50,50,00,000 equity shares of ₹ 1/- each. The paid-up share capital is 24,25,43,716 equity shares of ₹ 1/- each.

The Company had allotted 1,75,000 equity shares of ₹ 1/- each during the year upon the exercise of an equal number of stock options by the employees pursuant to the Employees Stock Option Scheme(s) of the Company.

TRANSFER TO THE INVESTOR EDUCATION & PROTECTION FUND (IEPF):

In terms of Section 124(5) of the Companies Act, 2013 read with Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, unclaimed dividends amounting to ₹ 10,16,484/- (Ten Lakhs Sixteen Thousand four hundred and eighty four rupees only) pertaining to the final dividend for the financial year 2016-17 and up to the third interim dividend for the financial year 2017-18 was transferred during the year under review to the Investor Education and Protection Fund established by the Central Government. Further, during the year under review, the Company transferred 14,897 equity shares to the Investor Education and Protection Fund relating to the investors who have not claimed any dividend for the last seven consecutive years.

The details of the investors whose dividend amount and shares are transferred are available on the website of the Company at <https://granulesindia.com/investors/investor-resources/unclaimed-dividend-shares-transferred-to-iepf/>.

Mrs. Chaitanya Tummala, Company Secretary & Compliance Officer is designated as the Nodal Officer under the provisions of IEPF. The contact details can be accessed on the website of the Company at <https://granulesindia.com/>.

MANAGEMENT'S DISCUSSION AND ANALYSIS REPORT:

Management's Discussion and Analysis Report for the year under review, as stipulated under regulation 34(2) of the Listing Regulations, is presented in a separate section, forming part of the annual report.

SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES:

SUBSIDIARY COMPANIES, THEIR PERFORMANCE AND DEVELOPMENTS

Granules USA, Inc.

Granules USA, Inc., a wholly-owned foreign subsidiary of the Company, caters to the business-to-business segment of the

US market. During the FY 2023-24, the Company achieved a turnover of ₹ 8,119.36 million for FY 2024-25 against the turnover of ₹ 7,187.96 million for FY 2023-24 and the profit after tax is ₹ (179.25) million against ₹ (188.37) million for FY 2023-24.

Granules Consumer Health, Inc. (GCH) is a wholly-owned subsidiary of Granules USA, Inc. GCH primarily focuses on marketing over-the-counter (OTC) medications to retailers. GCH also operates an USFDA-approved packaging facility in Manassas, Virginia, USA to support its business.

Granules USA, Inc., together with GCH has been merged with Granules Pharmaceuticals, Inc. with effect from April 01, 2025. After the merger, the legal entity of GCH has been converted to an LLC.

Granules Pharmaceuticals, Inc.

Granules Pharmaceuticals, Inc. (GPI), a wholly-owned foreign subsidiary of the Company located in Virginia, USA focuses on formulation R&D. During the FY 2024-25, the Company achieved a turnover of ₹20,740.81 million against the turnover of ₹ 16,203.76 million for FY 2023-24 and the profit after tax is ₹ 1,877.40 million against ₹ 589.89 million for FY 2023-24.

During the year FY 2024-25, GPI filed two ANDAs with USFDA, approvals for which are awaited. During the year under review, GPI launched six products under its label.

Granules Europe Limited

Granules Europe Limited, a wholly-owned foreign subsidiary of the Company was dissolved voluntarily with effect from March 18, 2025 due to a strategic change in the business model of the Company.

Granules Life Sciences Private Limited

Granules Life Sciences Private Limited is a wholly-owned Indian subsidiary of the Company located in Hyderabad, India. This facility has a finished dosage capacity of 10 billion per annum.

Granules CZRO Private Limited

Granules CZRO Private Limited is a wholly-owned Indian subsidiary of the Company established for manufacturing green chemicals. It has successfully commissioned the pilot plant for Dicyandiamide (DCDA) at Visakhapatnam and is developing a first-of-its-kind continuous process for DCDA production.

In addition, the Company is developing alternate technologies for para-aminophenol (PAP) production under continuous process mode to enable decarbonisation of Paracetamol production. Efforts are also underway to adopt green energy and green molecule manufacturing technologies aimed at reducing the overall carbon footprint and achieving net-zero emissions by 2050.

Granules Peptides Private Limited

Granules Peptides Private Limited was incorporated as a wholly-owned Indian subsidiary of the Company in the month of March, 2025 for the acquisition of 100% equity stake in M/s. Senn Chemicals AG, a Switzerland-based Company that specialises in custom peptide development & manufacturing,

supporting global clients across the Pharmaceuticals, Cosmetics and Theragnostic industries from early development to commercial production. The acquisition was completed in April 2025.

The Company is in the process of changing its name to M/s. Ascelis Peptides Private Limited.

The Policy for determining material subsidiaries as approved by the Board may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/2024/03/Policy-on-Material-Subsidiaries.pdf>.

JOINT VENTURE /ASSOCIATE COMPANIES

The Company has no joint venture or associate Company during the period under review.

No other Company except M/s. Granules Peptides Private Limited has become or ceased to be a Company's subsidiary, joint venture or associate Company during the period under review.

As per the provisions of Section 129 of the Companies Act, 2013 read with Companies (Accounts) Rules, 2014, a separate statement containing the salient features of the financial statements of the subsidiary Companies is prepared in Form AOC-1 and it forms part of the consolidated financial statements.

CONSOLIDATED FINANCIAL STATEMENTS:

The consolidated financial statements of the Company and its subsidiaries for FY 2024-25 are prepared in compliance with section 129(3) of the Companies Act, 2013 and regulation 34 of the Listing Regulations and in accordance with the Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015. The audited consolidated financial statements together with the auditor's report thereon form a part of this annual report. The consolidated financial statements have been prepared on the basis of audited financial statements of the Company and its subsidiaries as approved by their respective Boards. As per the provisions of section 136 of the Companies Act, 2013, the Company has placed separate audited accounts of its subsidiaries on its website at <https://granulesindia.com/investors/financial-reports/annual-accounts-of-subsidiaries-jvs/> and a copy of separate audited accounts of its subsidiaries will be provided to the members at their request till the date of the Annual General Meeting of the Company.

COMPLIANCE WITH SECRETARIAL STANDARDS:

The Company has complied with Secretarial Standards issued by the Institute of Company Secretaries of India.

DIRECTOR'S RESPONSIBILITY STATEMENT:

Pursuant to the requirement of section 134(5) of the Companies Act, 2013, with respect to the Director's Responsibility Statement, the Board of Directors of the Company to the best of their knowledge and ability hereby confirm that:

- a) in the preparation of the annual accounts for the year ended March 31, 2025, the applicable accounting standards have been followed and there are no material departures from the same;
- b) accounting policies have been selected and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2025 and of the profit and loss of the Company for the year ended on that date;
- c) proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) the annual accounts have been prepared on a going concern basis for the financial year ended March 31, 2025;
- e) adequate internal financial controls for the Company to follow have been laid down and these are operating effectively; and
- f) proper and adequate systems have been devised to ensure compliance with the provisions of all applicable laws and these systems are operating effectively.

CORPORATE GOVERNANCE:

The Company is committed to maintaining the highest standards of corporate governance and adhering to the corporate governance requirements set out by the Securities and Exchange Board of India (SEBI). The report on corporate governance as stipulated under the Listing Regulations forms an integral part of this report. The requisite certificate from the secretarial auditor of the Company confirming compliance with the conditions of corporate governance is attached to the report on corporate governance.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT:

The Business Responsibility & Sustainability Report for the year under review, as stipulated under regulation 34(2) (f) of the Listing Regulations, is presented in a separate section, forming part of the annual report.

RELATED PARTY TRANSACTIONS:

All related party transactions entered by the Company during the financial year 2024-25 with related parties were in the ordinary course of business and are on an arm's length basis. During the year, except for the wholly-owned subsidiaries, the Company had not entered into any transaction with related parties which could be considered material in accordance with the policy of the Company on the materiality of related party transactions.

The Policy on the materiality of related party transactions and dealing with related party transactions as approved by the

Board may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/2025/02/Granules-Related-Party-Transactions-Policy-Updated-24.01.2025.pdf>

The particulars of transactions with related parties referred to in section 188(1) are prepared in Form No. AOC-2 pursuant to clause (h) of sub-Section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014 and the same is annexed herewith as **Annexure IV** to the Board's report.

The details of the transactions with related parties were also provided in the notes to the financial statements.

CORPORATE SOCIAL RESPONSIBILITY:

The Sustainability & Corporate Social Responsibility Committee is comprised of four members out of which two are Independent Directors. The details of the constitution of the Committee and its meetings are provided in the corporate governance report. The CSR activities of the Company are governed through the Corporate Social Responsibility Policy (CSR Policy) approved by the Board and in compliance with Schedule VII of the Act. The CSR Policy may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf>

During the year under review, the Company has spent ₹ 118.90 million on CSR activities. The annual report on CSR activities is annexed herewith as **Annexure I** to the Board's report.

NOMINATION AND REMUNERATION COMMITTEE:

During the year under review, the Committee comprised three members and the details of the constitution of the Committee and its meetings are provided in the corporate governance report. The Chairman of the Committee and all other members are Independent Directors, thereby resulting in independent and unbiased decisions.

The Performance Evaluation and Remuneration Policy framed by the Committee and approved by the Board is directed towards rewarding the performance of Executive and Non-Executive Directors, Key Managerial Personnel and Senior Management Personnel of the Company based on a review of achievements periodically. The Performance Evaluation and Remuneration Policy may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/2023/06/performance-evaluation-and-remuneration-policy-2023.pdf>

ENTERPRISE RISK MANAGEMENT:

The Company has a Risk Management Committee of the Board and the details of the Committee and its terms of reference are set out in the corporate governance report.

The Risk Management Committee has been entrusted with the responsibility to:

- (a) oversee and approve the Company's enterprise risk management framework;
- (b) oversee all the risks that the organization faces such as financial, operational, sectoral, sustainability (particularly,

ESG-related risks), information, cyber security risks or any other risk as may be determined by the Committee;

- (c) ensure that appropriate methodology, processes, and systems are in place to monitor, evaluate and mitigate risks associated with the business of the Company.

The Company has a proper process for risk management.

INTERNAL FINANCIAL CONTROLS:

Internal financial controls are an integrated part of the risk management process, addressing financial and financial reporting risks. The internal financial controls have been documented, digitized and embedded in the business processes. An assurance of the effectiveness of internal financial controls is obtained through management reviews, control self-assessment, continuous monitoring by functional experts as well as testing of the internal financial control systems by external consultants on behalf of the management at least once a year. We believe that these systems provide reasonable assurance that our internal financial controls are designed effectively and are operating as intended.

INTERNAL AUDIT AND CONTROLS:

The Company continues to engage M/s. Dhanunjaya & Haranath, Chartered Accountants as its internal auditors. During the year, the Company continued to implement its suggestions and recommendations to improve internal controls. Their scope of work includes a review of the operational efficiency, the effectiveness of systems & processes, compliance and assessing the robustness of the internal control systems in all areas of operations and the financial closure process. Internal auditor's findings are discussed and suitable corrective actions are taken as per the directions of the Audit Committee on an ongoing basis to improve the performance of the Company.

The Company's internal control systems are well established and are commensurate with the nature of its business, the size and complexity of its operations. The Audit Committee reviews the adequacy and effectiveness of the Company's internal control environment and monitors the implementation of audit recommendations. The recommendations/suggestions of the internal auditors are discussed in the Audit Committee meetings.

DIRECTORS AND KEY MANAGERIAL PERSONNEL:

Assessment and appointment of members to the Board are based on a combination of the criteria that include ethics, personal and professional stature, domain expertise, gender diversity and specific qualifications required for the position. While appointing the Independent Directors, the potential Board member is also assessed on the basis of the independence criteria defined in Section 149(6) of the Act, and regulation 16(1)(b) of the Listing Regulations.

Retirement by Rotation

In accordance with the provisions of Section 152 of the Companies Act, 2013 and the Articles of Association

of the Company, Mr. K.B. Sankar Rao, (DIN: 05167550) Non-Executive Director of the Company retires by rotation at the ensuing Annual General Meeting and being eligible, has offered himself for re-appointment.

The Board recommends the above re-appointment to the shareholders. The notice convening the 34th Annual General Meeting to be held on August 07, 2025 sets out the details.

The Company has received declarations from all the Independent Directors of the Company confirming that they meet the criteria of independence as prescribed both under the Companies Act and the Listing Regulations.

The Board of Directors has complete access to the information within the Company. Independent Directors have the freedom to interact with the Company's management. Interactions happen during the Board / Committee meetings when executives of the Company are asked to make presentations about the performance of the Company. Apart from this, they also have independent interactions with the statutory auditors, the internal auditors and external advisors appointed from time to time. Further, they meet without the presence of any management personnel and their meetings are conducted to enable the Independent Directors to discuss matters about the Company's affairs and put forth their combined views to the Board of Directors of the Company.

Key Managerial Personnel

The following have been designated as the key managerial personnel of the Company pursuant to section 2(51) and 203 of the Companies Act, 2013 read with the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014:

Dr. Krishna Prasad Chigurupati - Chairman and Managing Director

Dr. Kandiraju Venkata Sitaram Rao - Joint Managing Director & CEO

Mrs. Uma Devi Chigurupati - Executive Director

Mr. Harsha Chigurupati - Executive Director

Mrs. Priyanka Chigurupati - Executive Director

Mr. Mukesh Surana - Chief Financial Officer

Ms. Chaitanya Tummala - Company Secretary

BOARD EVALUATION:

The Company has devised a policy for the performance evaluation of the Independent Directors, Board, Committees and other individual Directors and also includes criteria for performance evaluation of the Non-Executive Directors and Executive Directors. Pursuant to the provisions of the Companies Act, 2013 read with the Rules issued thereunder and the Listing Regulations (including any statutory modification(s) or re-enactment(s) for the time being in force), the process

for annual evaluation of the performance of the Board, its Committees and individual Directors was carried out.

The performance of the Board and individual Directors was evaluated by the Board after seeking input from all the Directors. The criteria for performance evaluation of the Board included aspects such as Board composition and structure, the effectiveness of Board processes, contribution to long-term strategic planning, etc. The performance of the Committees was evaluated by the Board after seeking input from the Committee Members.

In a separate meeting, the Independent Directors evaluated the performance of Non-Independent Directors and the performance of the Board as a whole including the Chairman of the Board.

EMPLOYEE STOCK OPTION SCHEME:

The Company's Employees Stock Option Schemes viz. ESOS-2009 & ESOS-2017 have been in place and the Company has made grants under ESOS-2009 & ESOS-2017 to the eligible employees of the Company and its subsidiaries. The Nomination and Remuneration Committee of the Board of Directors of the Company, *inter alia*, administers and monitors the Employees' Stock Option Schemes. The Company did not make any grant under ESOS- 2017 during the FY 2024-25. There has not been any material change in the Employee Stock Option Schemes during the financial year under review. The Schemes and their implementation are in line with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 ("SBEB Regulations") as amended thereof.

The applicable disclosures as stipulated under the SEBI guidelines as of March 31, 2025 (cumulative position) about the Employee's Stock Option Schemes are herein under-provided. The issue of equity shares pursuant to the exercise of options does not affect the Statement of Profit and Loss of the Company, as the exercise is made at the market price prevailing as on the date of the grant plus taxes as applicable.

The Nomination and Remuneration Committee of the Board of Directors of the Company, *inter alia*, administers and monitors the Employees' Stock Option Scheme. There has not been any material change in the Employee Stock Option Schemes during the period under review. The Schemes and their implementation are in line with the SBEB Regulations as amended thereof.

Under regulation 13 of the SBEB Regulations, a certificate from M/s. Saurabh Poddar & Associates, Practicing Company Secretaries is annexed herewith as **Annexure-II** to the Board's report.

The details of the stock options granted/vested/exercised under the Granules India Limited – ESOS 2009 approved by the members in the 18th Annual General Meeting and Granules India Limited –ESOS 2017 approved by the members in the 26th Annual General Meeting, are given below:

Sl. no.	Description	Details of Scheme	
		ESOS-2009	ESOS-2017
(a)	Options granted till date under the scheme	15,602,800	2,50,000
(b)	Pricing formula	Closing market price as on the date before the grant date on the National Stock Exchange (where there was the highest trading volume).	
(c)	Options vested during the year	NIL	NIL
(d)	Options exercised during the year	50,000	1,25,000
(e)	Total number of shares arising as a result of the exercise of options	50,000	1,25,000
(f)	Options lapsed/surrendered during the year	NIL	NIL
(g)	Options lapsed/surrendered to date under the scheme	92,00,272	1,00,000
(h)	Variation in terms of options	NIL	NIL
(i)	Money realized by exercise of options during the year	58,50,000	4,41,25,000
(j)	Total number of options in force	64,02,528	1,25,000
(k)	Employee-wise details of options granted during the year	NA	NIL
(k)(i)	Senior managerial personnel	NA	NIL
(k)(ii)	Any other employee who receives a grant in any one year of options amounting to 5% or more of options granted during the year.	NA	NIL
(k)(iii)	Identified employees who were granted an option, during any one year, equal to or exceeding 1% of the issued capital (excluding outstanding warrants and conversions) of the company at the time of grant.	NA	NIL
(l)	Diluted Earnings per share (EPS) under the issue of shares on exercise of options calculated by Accounting Standards – Earning per share.	₹ 13.17 per share	
(m)	Where the company has calculated the employee compensation cost using the intrinsic value of the stock options, the difference between the employee compensation cost shall have been recognised if it had used the fair value of the options.	Not Applicable	
(n)	The weighted-average exercise price, whose exercise price either equals or exceeds or is less than the market price of the stock	₹ 117.00/- per share	₹ 353.00/- per share
(o)	Description of the method and significant assumptions used during the year to estimate the fair values of options.	The assumptions and model used for estimating fair value are disclosed in Note 27 of the Standalone financial statements.	

AUDITORS AND THEIR REPORTS:

Statutory Auditors

M/s. S.R. Batliboi & Associates LLP, a Firm of Chartered Accountants, Hyderabad was appointed as the statutory auditors of the Company for a term of 5 (five) consecutive years, at the 31st Annual General Meeting held on July 27, 2022. They have confirmed that they are not disqualified from continuing as auditors of the Company.

The notes on the financial statement referred to in the auditors' report are self-explanatory and do not call for any further comments. The auditors' report does not contain any qualification, reservation, adverse remark or disclaimer.

Secretarial Auditor

The Board has appointed M/s. Saurabh Poddar & Associates, Company Secretaries, to conduct a secretarial audit for the financial year 2024-25. The secretarial audit report of the Company and its material unlisted Indian subsidiary for the financial year ended March 31, 2025 is annexed herewith as **Annexure III** to the Board's report. The secretarial audit report does not contain any qualification, reservation or adverse remark.

Subject to the approval of the members, the Board on the recommendations of the Audit Committee, approved the appointment of M/s. Saurabh Poddar & Associates, Company Secretaries (Registration No. S2012AP177700) as the secretarial auditor of the Company for a period of 5 (five) consecutive years from the conclusion of 34th AGM till the conclusion of the 39th AGM. Further, Mr. Saurabh Poddar, Proprietor of M/s. Saurabh Poddar & Associates, Company Secretaries had confirmed that he meets the criteria for appointment specified in regulation 24 (A) of listing regulations, section 203 and all other applicable provisions of the Act. Further, the Company has also received a copy of the Peer Review Certificate issued by the Institute of Company Secretaries of India to the said auditor and a declaration that the firm is not disqualified for the appointment under the Act & listing regulations.

DISCLOSURES:

Meetings of the Board

Six meetings of the Board of Directors were held during the year. The particulars of meetings held and attended by each Director are detailed in the Corporate Governance report, which forms part of this report.

Audit Committee

The Audit Committee is comprised of four (4) Members out of which three (3) are Independent Directors and one (1) is an Executive Director. During the year under review, five Committee meetings were held, details of which are provided in the Corporate Governance report. During the year under review, there were no instances when the recommendations of the Audit Committee were not accepted by the Board.

Vigil Mechanism & Whistleblower Policy

The Company has established a mechanism for Directors and employees of the Company to report concerns about unethical behaviour, actual or suspected fraud, or violation of the Code. It also provides adequate safeguards against the victimization of employees who avail of the mechanism and allows direct access to the Chairperson of the Audit Committee in exceptional cases. During the year, no person was denied access to the Audit Committee.

The Vigil Mechanism & Whistleblower policy may be accessed on the Company's website at <https://granulesindia.com/wp-content/uploads/2025/02/GIL-Whistle-blower-policy-Jan-2025.pdf>

Code of Conduct

A declaration regarding compliance with the code of conduct signed by the Company's Joint Managing Director & CEO is published in the Corporate Governance report, which forms part of the annual report.

Particulars of Loans given, Investments made, Guarantees given and Securities provided

Particulars of loans given, investments made, guarantees given and securities provided are provided in the standalone financial statement (Please refer to Note No.4A, 4B, 7C and 26(b) to the standalone financial statement).

Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo

The particulars relating to the conservation of energy, technology absorption, foreign exchange earnings and outgo, as required to be disclosed under the Act, are annexed herewith as **Annexure V** to the Board's report.

Annual Return

Pursuant to section 92(3) read with section 134(3)(a) of the Act, the Annual Return as of March 31, 2025 is placed on the website of the Company and may be accessed on the Company's website at <https://granulesindia.com/investors/notice-disclosures/annual-returns/>.

Particulars of Employees and Related Disclosures

Disclosures pertaining to remuneration and other details as required under section 197(12) of the Act, read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, are annexed herewith as **Annexure VI** to the Board's report.

In terms of the provisions of section 197(12) of the Act read with Rules 5(2) and 5(3) of the Companies (Appointment and

Remuneration of Managerial Personnel) Rules, 2014, as amended thereof, a statement showing the names and other particulars of the employees drawing remuneration over the limits set out in the said rules forms part of this report.

Considering the first proviso to section 136 (1) of the Act, the annual report, excluding the aforesaid information is being sent to the members of the Company. The said information is available for inspection by the members at the registered office of the Company or through electronic mode during business hours on working days up to the date of the forthcoming 34th AGM of the Company. Any member interested in obtaining a copy thereof may write to the Company Secretary in this regard.

The Directors further state that the remuneration paid to the Key Managerial Personnel and Senior Management Personnel is as per the Company's Performance Evaluation and Remuneration Policy.

Remuneration from Subsidiaries

Mrs. Priyanka Chigurupati has received a consideration for settlement of employee stock option of ₹ 57.04 million from Granules Pharmaceuticals, Inc., a wholly-owned foreign subsidiary of the Company in the Financial year ended on March 31, 2025.

Maintenance of Cost Records specified by the Central Government under Section 148 of the Companies Act, 2013

The Company has complied with the provisions relating to the maintenance of Cost Records as specified by the Central Government under section 148 of the Companies Act, 2013 during the year under review.

Policy on Sexual Harassment and Constitution of Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

The Company has a Policy on "Prevention of Sexual Harassment of Women at Workplace" for the matters connected therewith or incidental thereto covering all the aspects as contained under the "The Sexual Harassment of Women at Workplace (Prohibition, Prevention and Redressal) Act, 2013" and constituted an Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

No complaints were pending at the beginning of the year. During the year under review, one concern/complaint was reported and resolved. No complaint was pending for more than ninety days and as of the end of the financial year.

The Company regularly conducts awareness programs for the employees.

GENERAL

No disclosure or reporting is required in respect of the following matters, as there were no transactions on these items during the year under review:

- Details relating to deposits covered under Chapter V of the Act.

- Issue of equity shares with differential rights as to dividend, voting or otherwise.
- Issue of shares (including sweat equity shares) to employees of the Company under any scheme save and except the Employee Stock Option Scheme referred to in this report.
- The Company does not have any scheme of provision of money for the purchase of its shares by employees or by trustees for the benefit of employees.
- Cost Audit is not applicable for the financial year 2024-25.
- No significant or material orders were passed by the Regulators or Courts or Tribunals which impact the going concern status and the Company's operations in the future.
- No fraud has been reported by the auditors to the Audit Committee or the Board.
- There are no proceedings pending under the Insolvency and Bankruptcy Code, 2016.
- There was no instance of a one-time settlement with any Bank or Financial Institution.

ACKNOWLEDGEMENTS:

We express our sincere appreciation and thank our valued shareholders, customers, bankers, business partners/ associates, analysts, financial institutions, insurance companies and Central and State government departments for their continued support towards the Company.

We are pleased to record our appreciation of the sincere and dedicated services of the employees and workforce at all levels.

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director

Hyderabad, May 28, 2025

DIN: 00020180

ANNEXURE I TO BOARD'S REPORT: CSR REPORT

Annual Report on Corporate Social Responsibility (CSR) activities for the financial year 2024-25 as per Rule 8 of Companies (Corporate Social Responsibility Policy) Rules, 2014.

1. **Brief outline of CSR Policy of the Company:** CSR Policy can be accessed at <https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf>

2. **Composition of CSR Committee:**

Sl. No.	Name of Director	Designation/ Nature of Directorship	Number of meetings of the CSR Committee held during the year	Number of meetings of the CSR Committee attended during the year
1.	Mrs. Uma Devi Chigurupati	Chairperson/Executive Director	01	01
2.	Dr. Krishna Prasad Chigurupati	Member/Executive Director	01	01
3.	Mr. Rajiv Pritidas Kakodkar	Member/Independent Director	01	01
4.	Mrs. Sucharita Rao Palepu	Member/Independent Director	01	01

3. Provide the web link where the

- | | |
|---|---|
| a). Composition of the CSR Committee | a). The composition of the Sustainability & CSR Committee can be accessed at https://granulesindia.com/investors/other-information/ |
| b). CSR Policy and | b). The CSR Policy can be accessed at https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf |
| c). CSR Projects approved by the Board are disclosed on the website of the Company. | c). NOT APPLICABLE |

4. Provide the executive summary along with the web link(s) of the Impact assessment of CSR Projects carried out in pursuance of sub-rule (3) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable
- NOT APPLICABLE

5. (a) Average net profit of the company as per section 135(5): ₹ **5944.54 million**
- (b) Two percent of the average net profit of the company as per section 135 (5): ₹ **118.90 million**
- (c) Surplus arising out of the CSR projects or programs or activities of the previous financial years: ₹ **0.22 million**
- (d) Amount required to be set off for the financial year: ₹ **0.22 million**
- (e) Total CSR obligation for the financial year (5b+5c-5d): ₹ **118.68 million**
6. (a) Details of CSR amount spent against ongoing projects for the financial year: N.A.

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/ No)	Location of the project	Project duration	The amount allocated for the project (in ₹)	Amount spent in the current Financial year (in ₹)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in ₹)	Mode of Implementation - Direct (Yes/No)	Mode of Implementation - By implementing the Agency
				State.	District.					CSR Registration number
-	-	-	-	-	-	-	-	-	-	-
TOTAL		-	-	-	-	-	-	-	-	-

- 6 (a) Details of CSR amount spent against other than ongoing projects for the financial year:

(1)	(2)	(3)	(4)	(5)		(6)	(7)	(8)	
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/ No)	Location of the project		Amount spent on the project (₹ in millions)	Mode of implementation on-Direct (Yes/NO)	Mode of implementation – Through the implementing agency	
				State	District			Name	CSR registration number
1.	Skill development activity	Cl.(ii) livelihood enhancement projects	Yes	Telangana	Ranga Reddy District	13.31	NO	Swarna Bharat Trust	CSR00001645
2	Promoting Health Care	Cl.(i) Promoting preventive healthcare	Yes	Telangana	Hyderabad	3.29	NO	The Akshaya Patra Foundation	CSR00000286
3.	Granules Trust	Schedule VII activities	Yes	Telangana	Hyderabad	102.30	NO	Granules Trust	CSR00006834
TOTAL						118.90			

- (b) Amount spent on Administrative Overheads: **NIL**
- (c) Amount spent on Impact Assessment, if applicable: **NA**
- (d) Total amount spent for the Financial Year (6b+6c+6d): **₹ 118.90 million**
- (e) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in ₹)	Amount Unspent (in ₹):				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per the second proviso to section 135(5)		
	Amount	Date of transfer	Fund	Amount	Date of transfer
₹ 118.90 million	Nil	NA	NA	NA	NA

- (f) Excess amount for set-off, if any

Sl. No.	Particular	Amount (₹ in millions)
(i)	Two percent of the average net profit of the company as per section 135(5)	118.90
(ii)	Total amount spent for the Financial Year 2024-25	118.90
(iii)	Excess amount spent for the financial year [(ii)-(i)]	NIL
(iv)	Surplus arising out of the CSR projects or programs or activities of the previous financial years, if any	0.22
(v)	Amount available for set off in succeeding financial years [(iii)+(iv)]	0.22

7. (a) Details of Unspent CSR amount for the preceding three financial years:

Sl. No.	Preceding Financial Year.	Amount transferred to Unspent CSR Account under section 135 (6) (₹ in millions)	Amount spent in the reporting Financial Year (₹ in millions)	Amount transferred to any fund specified under Schedule VII as per section 135(6) if any.			The amount remaining to be spent in the succeeding financial years. (₹ in millions)
				Name of the Fund	Amount (₹ in millions)	Date of transfer.	
1.	2021-22	-	-	-	-	-	-
2.	2022-23	-	-	-	-	-	-
3.	2023-24	-	-	-	-	-	-
TOTAL		-	-	-	-	-	-

8. Whether any capital assets have been created or acquired through CSR amount spent in the Financial Year: No

If yes, enter the number of capital assets created/acquired

Furnish the details relating to such asset(s) so created or acquired through CSR amount spent in the financial year:

Sl. No.	Short Particulars of the property or asset(s)	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, If applicable	Name	Registered Address
NA							

9. Specify the reason(s), if the company has failed to spend two percent of the average net profit as per section 135(5): N.A.

Sd/-

Uma Devi Chigurupati
Chairperson of the Sustainability & CSR Committee

Sd/-

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director

ANNEXURE-II TO BOARD'S REPORT

COMPLIANCE CERTIFICATE

[Pursuant to Regulation 13 of the Securities Exchange Board of India
(Share-Based Employee Benefits and Sweat Equity) Regulations, 2021]

To,
The Members,
Granules India Limited

I Saurabh Poddar, Company Secretary in practice, have been appointed as the Secretarial Auditor vide a resolution passed at the meeting held on May 15, 2024 by the Board of Directors of M/s. Granules India Limited (hereinafter referred to as 'the Company'), having CIN: L24110TG1991PLC012471 and having its registered office at 15th Floor, Granules Tower, Botanical Garden Road, Kondapur, Hyderabad – 500084, Telangana, India.

This certificate is issued under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 (hereinafter referred to as "the Regulations"), for the year ended March 31, 2025.

Management Responsibility:

1. The Board of Directors and the Nomination and Remuneration Committee of the Board is responsible for the formulation and implementation of the Employee Stock Option Scheme – 2009 and Employee Stock Option Scheme – 2017 (hereinafter referred to as "Schemes") in compliance with the Regulations and the special resolutions passed at the respective shareholder's meetings dated 25 September 2009 and 28 September 2017 ("Shareholder resolutions") respectively.
2. The management is responsible for the preparation and maintenance of all accounting and other relevant supporting records and documents relating to the Scheme including the design, implementation and maintenance of internal controls on the implementation of the aforesaid Schemes in compliance with the Regulations.

Auditors' Responsibility:-

1. Pursuant to the requirements of the Regulations, it is my responsibility to obtain reasonable assurance and form an opinion as to whether the Scheme is in compliance with the Regulations and the Shareholder resolutions.
2. In connection with the above, I have performed the following procedures:
 - a. Read the Schemes provided to us by the Company;
 - b. Read the resolutions passed at the meeting of the Board of Directors;

- c. Read the shareholder's resolutions passed at the general meetings and;
- d. Obtained required explanations and representations from the management.

3. I have conducted the examination in accordance with the Guidance Note on Reports or Certificates for Special Purposes issued by the Institute of Company Secretaries of India. The Guidance Note requires that I comply with the ethical requirements of the Code of Ethics issued by the Institute of Company Secretaries of India.

Certification:

On the basis of the examination carried out and the information, explanations and representations provided by the management of the Company, in my opinion, the Schemes are implemented in accordance with the Regulations.

Assumptions & Limitations of Scope and Review:

1. Ensuring the authenticity of documents and information furnished is the responsibility of the management of the Company.
2. My responsibility is to give a certificate based on the examination of relevant documents and information. It is neither an audit nor an investigation.
3. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.
4. This certificate is solely for the information and is not to be used, circulated, quoted, or otherwise referred to for any purpose other than for the Regulations.

For **M/s. Saurabh Poddar & Associates**
Company Secretaries
FIRM UIN: S2012AP177700

Name: Saurabh Poddar

Designation : Proprietor
Membership No: FCS 9190
COP No: 10787

Place: Hyderabad
Date: May 06, 2025

PR: 6415/2025 dated 07-02-2025
UDIN: F009190G000280362

ANNEXURE III TO THE BOARD'S REPORT

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31-03-2025

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
M/s. Granules India Limited

I have conducted the secretarial audit of the compliance with applicable statutory provisions and the adherence to good corporate practices by M/s. Granules India Limited (hereinafter called the Company). The secretarial audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conduct/statutory compliances and expressing my opinion thereon.

Based on my verification of the M/s. Granules India Limited books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of the secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31st March 2025 complied with the statutory provisions listed hereunder and also that the Company has proper Board-Processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I, have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March 2025 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment.
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;

- (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009; (Not applicable to the Company during the Audit Period)
- (d) Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021.;
- (e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008; (Not applicable to the Company during the Audit Period)
- (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with the client(s);
- (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; (Not applicable to the Company during the Audit Period) and
- (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; (Not applicable to the Company during the Audit Period)
- (vi) I further report that, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof on a test-check basis, the company has complied with the following laws applicable specifically to the Company:

1. Drugs and Cosmetics Act, 1940 and Rules made thereunder; and

I have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards (SS-1 and SS-2) issued by The Institute of Company Secretaries of India.
- (ii) The Securities and Exchange Board of India (Listing Obligations And Disclosure Requirements) Regulations, 2015.

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

I further report that the Board of Directors of the Company is duly constituted with a proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The change in the composition of the Board of Directors that took place during the period under review,

is in compliance with the provisions of the Act read with regulation 25(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Adequate notice is given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings were carried out as recorded in the minutes of the meetings of the Board of Directors or Committees of the Board, as the case may be.

I further report that there are adequate systems and processes in the Company commensurate with its size and operations to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period there were no specific events/actions having a major bearing on the Company's affairs in pursuance of the above-referred laws, rules, regulations, guidelines and standards.

for **Saurabh Poddar & Associates**
Company Secretaries

(Saurabh Poddar)

Designation : Proprietor
Membership No: FCS 9190
COP No: 10787
PR: 6415/2025 dated 07-02-2025
UDIN: F009190G000479726

Place: Hyderabad
Date: 28/05/2025

This report is to be read with my letter of even date which is annexed as Annexure and forms an integral part of this report.

ANNEXURE TO THE SECRETARIAL AUDIT REPORT

To,
The Members,
M/s. Granules India Limited

My report of even date is to be read along with this letter:

1. Maintenance of secretarial records is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on a test-check basis to ensure that correct facts are reflected in secretarial records. I believe that the process and practices, I followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and books of accounts of the company.
4. Wherever required, I have obtained management representation regarding the compliance of laws, rules and regulations and happening of events, etc.

5. The compliance with the provisions of corporate and other applicable laws, rules, regulations and standards is the responsibility of the management. My examination was limited to the verification of procedures on a test-check basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

for **Saurabh Poddar & Associates**
Company Secretaries

(Saurabh Poddar)

Designation : Proprietor
Membership No: FCS 9190
COP No: 10787
PR: 6415/2025 dated 07-02-2025
UDIN: F009190G000479726

Place: Hyderabad
Date: 28/05/2025

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31-03-2025

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies
(Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
M/s. Granules Life Sciences Private Limited

I have conducted the secretarial audit of the compliance with applicable statutory provisions and the adherence to good corporate practices by M/s. Granules Life Sciences Private Limited (hereinafter called the Company). The secretarial audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conduct/statutory compliances and expressing my opinion thereon.

Based on my verification of the M/s. Granules Life Sciences Private Limited books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of the secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31st March 2025 complied with the statutory provisions listed hereunder and also that the Company has proper Board-Processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March 2025 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment.

I have also examined compliance by the Company with the applicable clauses of the Secretarial Standard on Meetings of Board of Directors (SS-1) and Secretarial Standard on General Meetings (SS-2) issued by the Institute of Company Secretaries of India that are mandatorily applicable to the Company.

During the period under audit, the Company has complied with the provisions of the Act, Rules, Regulations, Standards, etc. mentioned above.

- i. During the period under audit, provisions of the following Acts, Rules and Regulations of the Securities and Exchange Board of India Act, 1992 were not applicable to the Company:

- a) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Act and dealing with clients;
- b) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015;
- c) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
- d) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015; *
- e) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
- f) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
- g) The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021;
- h) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; and
- i) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018.

*The Company being a material subsidiary of Granules India Limited as defined in Regulation 16(1)(c) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, certain employees of the Company have been categorised as "Designated Persons" and are covered under Code of Conduct framed under the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015.

- ii. The Company has not entered into any listing agreements with the stock exchanges.

I further report that -

The Board of Directors of the Company is duly constituted with a proper balance of Executive, Non-Executive and Independent Directors. There were no changes in the composition of the Board of Directors that took place during the period under audit.

Adequate notices were given to all directors of the Company as regards the schedule of the Meetings of the Board (including Meetings of its Committees), except where consent of the directors was received for scheduling a meeting at a shorter notice.

Agenda and detailed notes on the agenda were also sent to all the directors of the Company at least seven days in advance, except where consent of directors was received for circulation of the Agenda and notes on the Agenda at a shorter notice. A system exists for seeking and obtaining further information and clarification on the agenda items before the meeting and for ensuring meaningful participation by the directors at the meetings.

All decisions at the Meetings of the Board and its Committees were carried out unanimously as recorded in

the minutes of the meetings of the Board of Directors or Committees of the Board, as the case may be.

I further report that there are adequate systems and processes in the Company commensurate with its size and operations to monitor and ensure compliance with the applicable laws, rules, regulations and guidelines.

I further report that during the period under audit, no specific events/ actions which have a major bearing on the Company's affairs have taken place, in pursuance of the above-referred laws, rules, regulations and standards.

for **Saurabh Poddar & Associates**

Company Secretaries

(Saurabh Poddar)

Designation : Proprietor

Membership No: FCS 9190

COP No: 10787

PR: 6415/2025 dated 07-02-2025

UDIN: F009190G000479737

Place: Hyderabad

Date: 28/05/2025

This report is to be read with my letter of even date which is annexed as Annexure and forms an integral part of this report.

ANNEXURE TO THE SECRETARIAL AUDIT REPORT

To,
The Members,
M/s. Granules Life Sciences Private Limited

My report of even date is to be read along with this letter:

1. Maintenance of secretarial records is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on a test-check basis to ensure that correct facts are reflected in secretarial records. I believe that the process and practices, I followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and books of accounts of the company.
4. Wherever required, I have obtained management representation regarding the compliance of laws, rules and regulations and happening of events, etc.

5. The compliance with the provisions of corporate and other applicable laws, rules, regulations and standards is the responsibility of the management. My examination was limited to the verification of procedures on a test-check basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

for **Saurabh Poddar & Associates**

Company Secretaries

(Saurabh Poddar)

Designation : Proprietor

Membership No: FCS 9190

COP No: 10787

PR: 6415/2025 dated 07-02-2025

UDIN: F009190G000479737

Place: Hyderabad

Date: 28/05/2025

ANNEXURE-IV TO THE BOARD'S REPORT

Disclosure of particulars of Contracts/Arrangements entered into by the Company

Form No. AOC-2 (Under clause (h) of sub-Section (3) of Section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Disclosure of particulars of contracts/arrangements entered into by the Company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under the third proviso thereto.

- There are no contracts/arrangements entered into by the Company with related parties referred to in sub-Section (1) of Section 188 of the Companies Act, 2013 which are not on an arm's length basis.
- Contracts/arrangements entered into by the Company with related parties referred to in sub-Section (1) of Section 188 of the Companies Act, 2013 which are at arm's length basis:

Sl. No.	Names of the related party and nature of the relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts or arrangements or transactions including the value, if any:	Salient terms of the contracts or arrangements or transactions including the value, if any: (₹ in Million)	Date(s) of approval by the Board/:	Amount paid as advances if any:	Justification for entering into contracts
1.	Granules USA, Inc. (Wholly Owned foreign subsidiary)	Sale of goods	FY 2024-25	1,999.54	March 29, 2024	NIL	The transaction is at arm's length price
2.	Granules Pharmaceuticals, Inc. (Wholly Owned foreign subsidiary)	Sale of goods	FY 2024-25	8,000.81	March 29, 2024	NIL	The transaction is at arm's length price
		Purchase of Goods		327.96			
3.	Granules Europe Limited (Wholly Owned foreign subsidiary)	Commission on sales of goods	FY 2024-25	11.46	March 29, 2024	NIL	The transaction is at arm's length price
4.	Granules USA, Inc. (Wholly Owned foreign subsidiary)	Commission on sales of goods	FY 2024-25	93.96	March 29, 2024	NIL	The transaction is at arm's length price
5.	Granules Consumer Health, Inc. (GCH), (a Step-down foreign subsidiary)	Sale of goods	FY 2024-25	3,879.12	March 29, 2024	NIL	The transaction is at arm's length price
6.	Product Armor Packaging Private Limited	Purchase of Goods	FY 2024-25	359.83	March 29, 2024	NIL	The transaction is at arm's length price
7.	Granules Life Sciences Private Limited (Wholly Owned Indian subsidiary)	Sale of Goods	FY 2024-25	222.31	March 29, 2024	NIL	The transaction is at arm's length price
8.	Granules Life Sciences Private Limited (Wholly Owned Indian Subsidiary)	Sale of Assets	FY2024-25	48.12	March 29, 2024	NIL	The transaction is at arm's length price.
9.	Granules CZRO Private Limited (Wholly Owned Indian subsidiary)	Purchase of Goods	FY 2024-25	0.10	March 29, 2024	NIL	The transaction is at arm's length price
10.	Chigurupati Family Trust	Leasing of Property	FY 2024-25	20.45	March 29, 2024	NIL	The transaction is at arm's length price

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati

Chairman and Managing Director

DIN: 00020180

Hyderabad, May 28, 2025

ANNEXURE V TO THE BOARD'S REPORT

Particulars of Energy Conservation, Technology Absorption and Foreign Exchange Earnings and Outgo are required under the Companies (Accounts) Rules, 2014.

PARTICULARS OF CONSERVATION OF ENERGY

During the financial year 2024-25, the Company has undertaken a range of targeted initiatives across its manufacturing locations to enhance energy efficiency and reduce greenhouse gas (GHG) emissions. These efforts led to a total energy savings of approximately 998,494 kWh and a GHG reduction of 1,250.06 tons of CO₂, along with financial savings of approximately H8 million across all units.

At the Gagillapur facility, the installation of a 667 kWp rooftop solar plant contributed significantly to emissions reduction, offsetting 524.89 tons of CO₂, while additional measures such as the installation of online tube cleaning systems for chillers and the replacement of electric heaters with hot water coils led to combined savings of over 345,000 kWh and nearly 251 tons of CO₂.

At Unit-1 situated at Bonthapally, the adoption of Variable Frequency Drives (VFDs) to optimise pump operations resulted in a remarkable 457,920 kWh of energy savings and 332.91 tons of CO₂ reduction. The Unit-2 situated at Jeedimetla implemented remote monitoring and control systems such as Auto Power Factor Control (APFC) panels and air dryer optimization, yielding 189,400 kWh in savings and over 137 tons of CO₂ reduction.

Additionally, energy audit-based process improvements like jacket and RT line enhancements contributed a further 5,832 kWh and 4.24 tons of CO₂ savings.

Beyond energy efficiency, the Company has significantly ramped up its use of renewable electricity. At the Gagillapur unit alone, 6,081 MWh of renewable electricity was procured through Power Purchase Agreements (PPAs), resulting in the avoidance of 4,420 tCO₂e emissions. Additionally, the Company procured 50,000 MWh of Renewable Energy Certificates (RECs) for its Gagillapur, Bonthapally, and Jeedimetla units, offsetting 36,350 tCO₂e of GHG emissions. As a result, the renewable electricity share reached 93.7% at Gagillapur, 92.3% at Bonthapally, and 90.8% at Jeedimetla units.

At the organisational level, 68.7% of the total electricity consumed is from renewable sources, while the overall share of energy from renewable sources, including biofuels used in boiler operations, stands at 24.2%. The overall avoided GHG emissions are 42,020 tons CO₂e.

These initiatives underscore the Company's commitment to sustainability through operational excellence, renewable energy adoption, and continuous improvement in energy use, all aligned with its long-term Net Zero ambitions and science-based targets.

PARTICULARS OF ABSORPTION

TECHNOLOGY ABSORPTION

1. Efforts made toward technology absorption	The R&D Division at Granules is continuously engaged in developing technology-based products and process improvement for the existing products as part of Continuous Quality Improvement (CQ-IP). This technology absorption starts from the pilot level and is scaled up until the commercial level with a focus on innovation, cost-efficient processes, operational efficiency mapping and integrated manufacturing.
2. Benefits derived like product improvement, cost reduction, product development or import substitution	a) Through continuous process improvement, products were ensured to meet the quality requirements for Genotoxic limits as specified by global regulatory bodies. b) Import substitutions through strategic sourcing within India to enable cost efficiency and continuous supply and to avoid supply disruptions. c) Structured programs were enabled for cost improvement of the current products and to overcome the challenge of price erosion.
3. In case of imported technology (imported during the last 3 years reckoned from the beginning of the financial year)	No imported technology
a) Details of technology imported b) Year of import c) Whether the technology has been fully absorbed d) If not fully absorbed, areas where absorption has not taken place, and the reasons therefore	

Expenditure Incurred in R&D:

(₹ in million)

	FY2024-25	FY2023-24
Capital	96.24	90.67
Recurring	1,724.61	1,328.44
Total	1,820.85	1,419.11

Updates on the Research & Development activities of the Company are provided below:

From being known as a leading supplier of APIs and PFI's in bulk, we moved on to become a leading manufacturer of finished dosage forms. Over the years, we have been constantly investing in Research and Development, where our team has been able to passionately translate science and technology into pharmaceutical products and manufacturing processes, meeting global regulatory standards. With experienced and qualified human resources, our R&D capability is the driving force of the current momentum and future growth of the organization. With innovation instilled into the culture of the company at various levels, R&D is a crucial attribute in fostering our vision to become a global leader in the pharmaceutical product development and manufacturing process.

We are augmenting our research capabilities and expanding our product portfolio to address the prospective demand across global markets. From a commercial perspective, our strategic product, process, and market approaches give us a competitive advantage which will enable us to be an integrated player offering both drug substance and the drug product.

2024- 25 – Highlights

In the API division, we filed a total of 41 (5 in FY 24-25) U.S. Drug Master Files ("USDMFs") across several therapeutic categories with the United States Food and Drug Administration ("U.S. FDA") in the United States, 22 (Certificates of Suitability ("CEPs") with the European Directorate for the Quality of Medicines ("EDQM") and 11 (6 in FY 24-25) European Drug Master Files ("EDMFs") in Europe, 14 (5 in FY 24-25) Korean Drug Master files, 7 (1 in FY 24-25) China Master Files, 4 Associated CADIFA Files in Brazil along with other regulatory filings in key regulated markets to support potential customers for ANDA and dossier filings.

- As part of our vertical integration strategy, we intend to file ANDAs for several of these APIs to forward integrate into FDFs.
- As part of our control substances expansion, we have developed 4 APIs towards vertical integration to FD. The products are developed in our controlled substances lab and validated in unit V. In addition to these we have developed one more control substance API, where we have manufactured the API up to the penultimate stage in our API unit Vizag, followed by the final stage conversion at our CDMO partner at USA.
- As part of the Green initiative, the Bio-catalysis group is actively working on enzymatic processes for APIs and chiral intermediates.
- A fermentation group is created for the development of Peptides and the development of enzymes for Biocatalysis.

- One of the products we have developed using an in-house enzyme has been successfully scaled up and validated. Development, manufacture and immobilisation are done in-house for the specific enzyme.
- To strengthen our capabilities in crystal morphology studies, we have collaborated with premier institutes like the Indian Institute of Chemical Technology, Hyderabad (IICT) & Indian Institute of Technology (IIT), Hyderabad. This is towards the development of novel polymorphs and improves the powder properties of existing products.
- Granules India and the National Institute of Pharmaceutical Education and Research (NIPER) in Mohali, Chandigarh, signed a Memorandum of Understanding (MoU), to establish Dr Chigurupati Centre of Excellence in Innovative and Sustainable Pharmaceutical Development (CCE-ISPDP).
- This initiative aims to bring sustainability and innovation to the core of pharma research and development. The centre will focus on crucial areas such as exploring plant-based excipients, advancements in polymer-free pharma formulations, innovative methods in producing directly compressible crystals, promotion of solvent-free pharma processes, and the development of resource-efficient and energy-efficient pharma products.
- The Chigurupati Centre of Excellence in Innovative and Sustainable Pharmaceutical Development at NIPER SAS Nagar Mohali embodies the collective determination to confront climate change within the pharmaceutical industry. Through collaboration, innovation, and unwavering commitment, this initiative heralds a new era of sustainability, where healing and environmental stewardship go hand in hand. Together, we forge a path towards a healthier, more sustainable world.
- Towards the Journey to build Granules intellectual property assets, we have filed one hundred and nineteen (119) patent applications in total and currently hold ten granted patents. During the year under review, we have filed a total of twenty-five patent applications, which include India: 12, International (PCT): 03, USA: 03 and Other Countries: 07.

In the finished dosage form division, we filed 85 (7 in FY 24-25) ANDAs with the U.S. FDA, of which 68 ANDAs have been approved and 17 are under review. We continued to leverage our ANDA filing into other markets outside the US. In the European region, we filed 20 applications (9 in FY 24-25) of which 10 are approved and 10 are under review. In Canada, we filed 7 applications and all were approved. A total of 18 applications (3 in FY 24-25) were filed in other markets (South Africa, Belarus, Israel, Saudi, Hong Kong, Australia and India) of which 8 were approved and 10 are under review.

Granules received 6 ANDA approvals from the USFDA in the financial year (2024-2025). These on-time approvals exemplify the quality of our ANDA filings. We also received 01 application in Canada.

Way Forward

We will continue to leverage our knowledge and experience in our core products to expand them into new markets and dosage forms. This would not only help us to bring economies of scale but also, mitigate market-concentrated risk. Steps have been taken in this direction during this financial year, and as an outcome, we filed three dossiers in the European market and working to file additional markets in the coming year.

We will continue to identify and develop complex products with limited competition and bring process efficiencies for our existing products to have a competitive advantage in the market. Looking forward to bringing considerable progress in our technical capabilities to achieve a higher number of regulatory filings. Thus, bringing focus on our R&D activities will enhance our product registrations and filings across a diversified product portfolio for the key markets, as well as strengthen our global presence.

C – TOTAL FOREIGN EXCHANGE EARNED AND USED

Particulars	(₹ in million)	
	FY 2024-25	FY 2023-24
Foreign Exchange Earnings	28,144.26	35,545.21
Foreign Exchange Outgo	8,068.51	10,083.56

ANNEXURE VI TO BOARD'S REPORT

Information in terms of Section 197(12) of the Companies Act, 2013, read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

- (i) The ratio of the remuneration of each Director to the median remuneration of the employees of the Company and the percentage increase in remuneration of each Director and Key Managerial Personnel (KMP) for the financial year 2024-25:

Sl. No.	Name of the Director/KMP	Designation	% increase in remuneration in the FY 2024-25	Ratio of remuneration of each Director / KMP to the median remuneration of employees
1	Dr. Krishna Prasad Chigurupati	Chairman & Managing Director	(25.14)	473.68
2	Dr. Kandiraju Venkata Sitaram Rao	Joint Managing Director & CEO	(3.13)	187.04
3	Mrs. Uma Devi Chigurupati	Executive Director	(25.15)	47.36
4	Mr. Harsha Chigurupati	Executive Director	(25.15)	47.36
5	Ms. Priyanka Chigurupati(1)	Executive Director	-	47.36
6	Mr. K. B. Sankar Rao	Non-Executive, Non-Independent Director	(24.10)	5.82
7	Mr. Arun Sawhney	Non-Executive, Independent Director	(25.07)	6.24
8	Dr. Saumen Chakraborty	Non-Executive, Independent Director	(22.25)	5.76
9	Mrs. Sucharita Rao Palepu	Non-Executive, Independent Director	(21.52)	5.28
10	Mr. Kapil Kumar Mehan(1)	Non-Executive, Independent Director	-	5.76
11	Dr. Sethurathnam Ravi(1)	Non-Executive, Independent Director	-	5.56
12	Mr. Rajiv Pritidas Kakodkar(1)	Non-Executive, Independent Director	-	5.68
13	Mr. Mukesh Surana	Chief Financial Officer	16.07	70.34
14	Ms. Chaitanya Tummala	Company Secretary	16.38	10.94

- (1) The remuneration paid in FY 2024-25 is not comparable with the previous year.
- (2) Non-Executive Directors were paid a commission on profits and sitting fees for attending the Board and Committee Meetings of the Company.
- ii). The median remuneration of employee was increased by 7 % in the financial year 2024-25.
- iii). The number of permanent employees on the rolls of the Company as of March 31, 2025, is 4,141.
- iv). The average percentage increase in the salaries of employees other than managerial personnel for the financial year 2024-25 was 7.4 % as compared to the financial year 2023-24. There was a decrease of 13.54 % in the total remuneration of Executive Directors and KMP for the financial year 2024-25.
- v). It is hereby confirmed that the remuneration to the Directors and KMP for the financial year 2024-25 is as per the performance evaluation and remuneration policy of the Company.

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180

Hyderabad, May 28, 2025